WEEKLY SHIP RECYCLING REPORT

bestoasis

1st April to 8th April 2022

Highlights of the Week

The ongoing war in Ukraine and widespread lockdowns in China have altered trade flows, thereby leading to an increase in ocean freight rates. The Tanker segment, which has been the major contributor to the recycling market since the pandemic, is now seeing steady freight rates as oil buyers replenish inventories and IEA's 31 member nations plan to release 120 million barrels from their emergency oil reserves. On the other hand, the falling yen is encouraging Japanese owners to consider recycling their aging assets to benefit from dollar-denominated ship sales. While the supply side will be impacted by the above factors and changing market dynamics, the buying activity in the recycling market remains positive with attractive offers coming from Pakistan and India while Bangladesh slightly lags behind these two markets in terms of prices being offered.

Oil prices experienced intense volatility and fluctuated repeatedly over and below USD 100 per barrel this week as hawkish signals from the U.S. Federal Reserve raised the prospect of restrained economic growth while millions of barrels of crude from strategic reserves are released into the market.

Inflation in several countries across the globe is reaching historic highs in response to the rising gas and oil prices. The Federal Reserve signalled its plans to increase key U.S. interest rate by half-percentage-point steps at upcoming meetings if inflation remains high or gets worse.

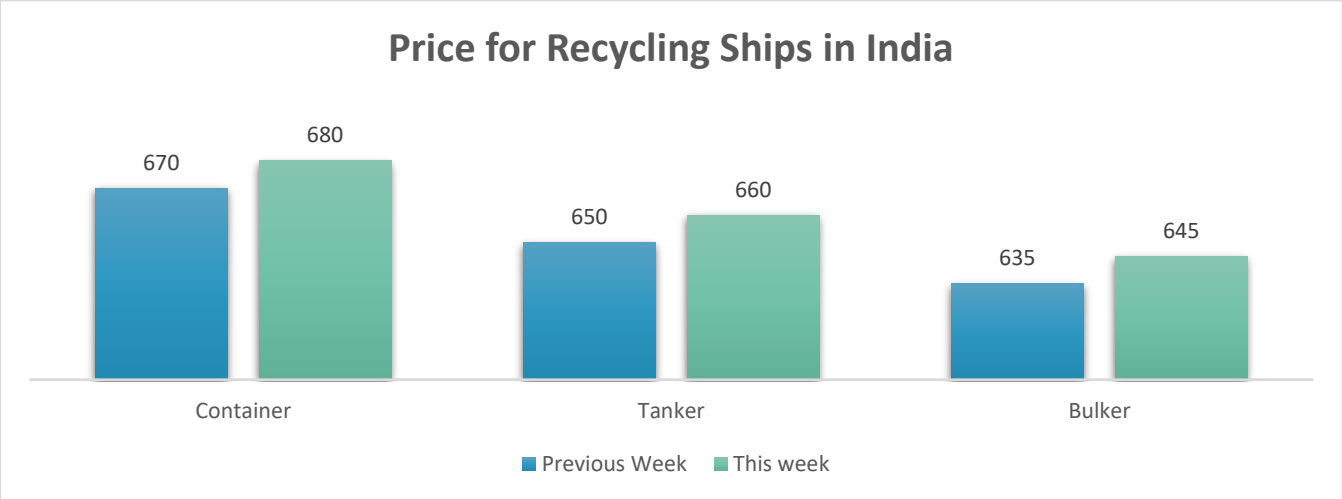
23 cities in China are currently under total or partial lockdown with no clear end in sight. The lockdown in Shanghai which was supposed to end on Tuesday has been extended indefinitely until further announcement.

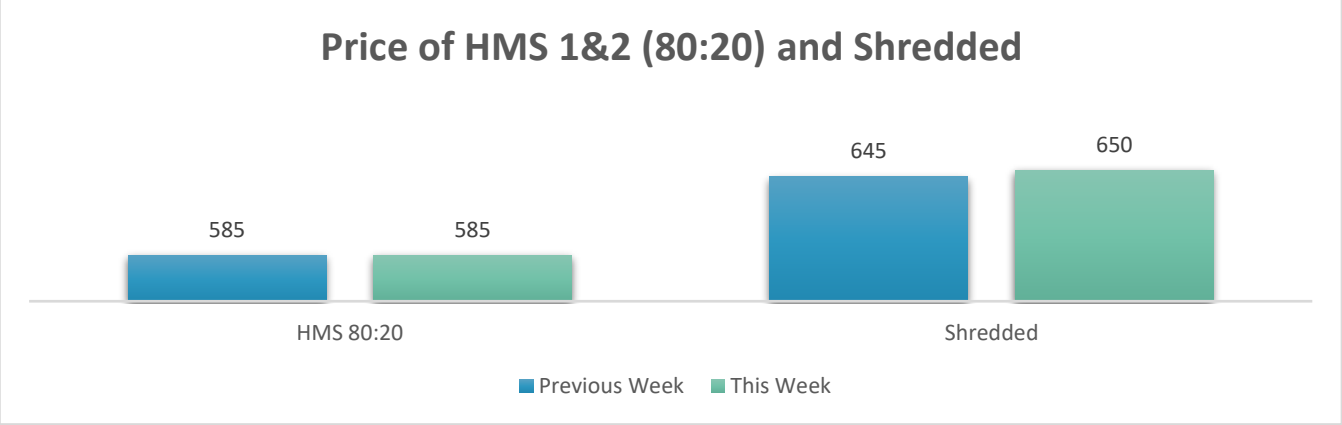
INDIA

Market maintains strong momentum

The demand for tonnage remains strong in India with stable domestic and export steel market but the buying capacity of several recycling yards have been impacted by the elevated prices which require increased bank limits. Very few yards have access to such limits and are able to bid for large sized tonnages in the market.

The ongoing heated steel prices are pushing end-users like infrastructure and automotive to the sidelines and they have scaled back purchasing by 30-40%. Prices are expected to remain firm in April due to high quantity of export orders in hand but may see a gradual decline in May.





Beaching Dates:
16th April to 22nd April 2022
28th April to 5th May 2022
14th May to 22nd May 2022

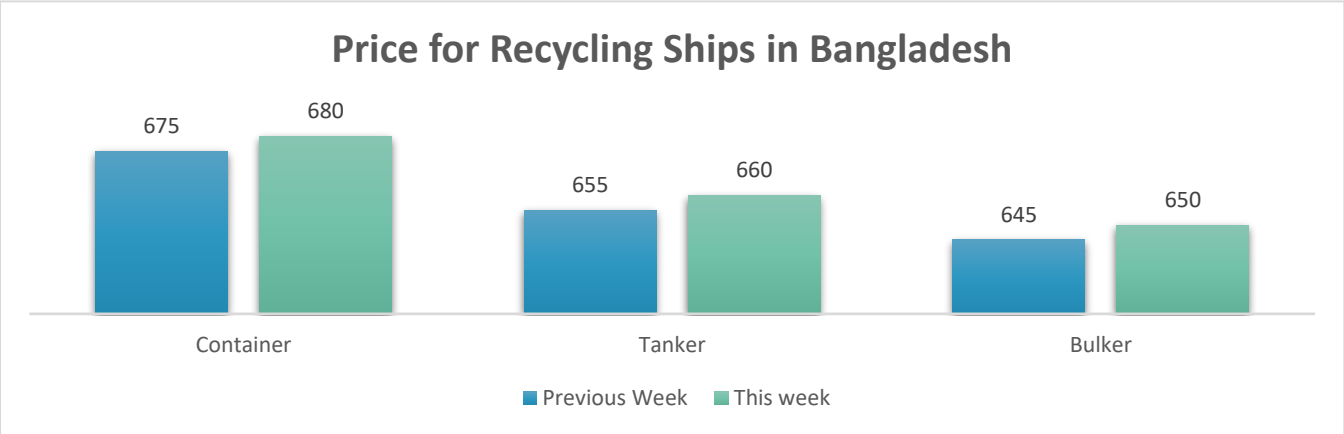
BANGLADESH

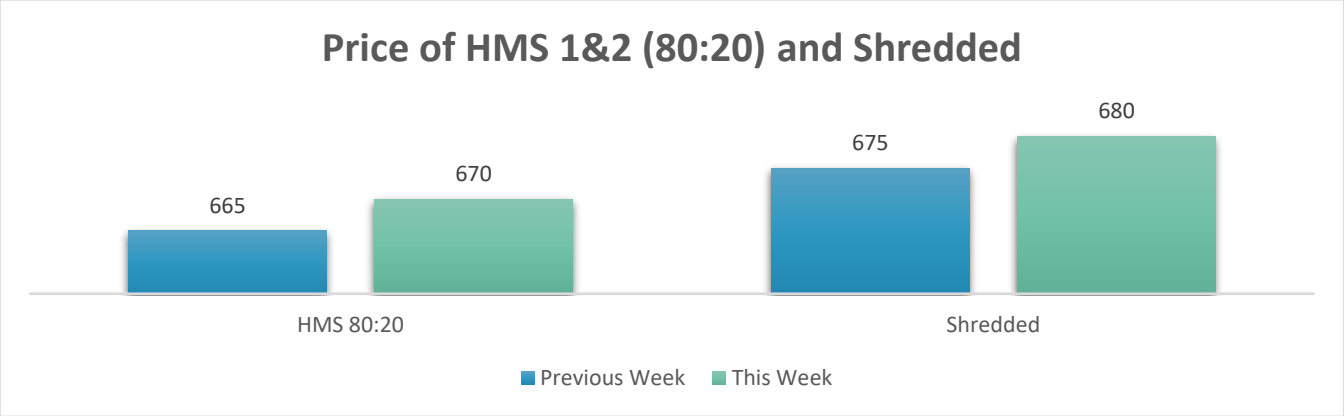
Market takes a breather

The offer prices from recyclers of Bangladesh for securing tonnage have taken a beat as the buying orders from steel mills have significantly reduced. Due to high raw material prices and low finished products demand, the mills are only buying to meet urgent needs and are waiting to get clear direction before placing more orders.

The construction activities have slowed down to a great extent due to increasing prices, adversely affecting the demand of rebar. However, major mills have been keeping their rebar offers firm.

As the Japanese Yen weakened against the dollar, many mills are showing interest towards Japanese materials to meet their requirements.





Beaching Dates:
17th April to 20th April 2022
30th April to 3rd May 2022
16th May to 19th May 2022

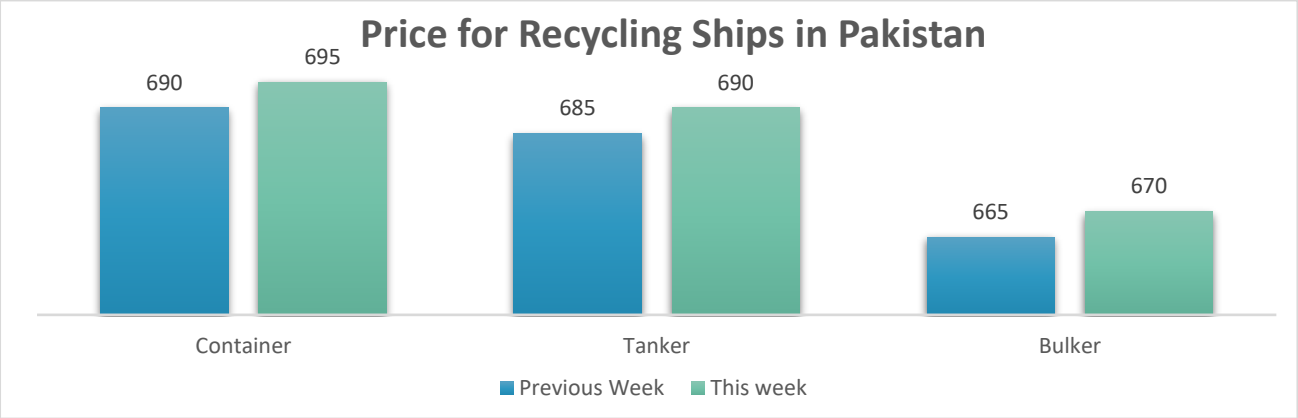
PAKISTAN

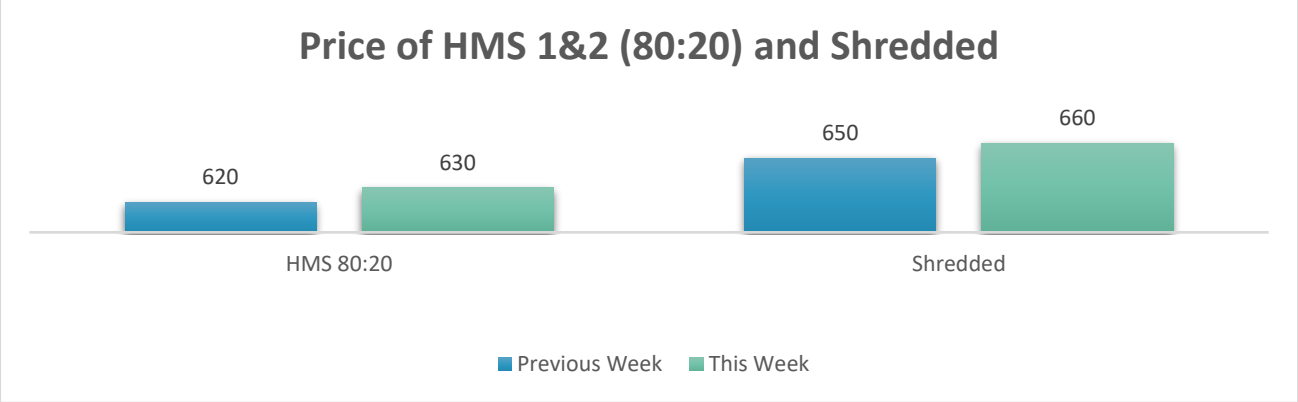
Leading the subcontinent market

The offer prices from recyclers of Pakistan are currently leading the price board in the subcontinent market as the shortage of stock in the yards have driven demand to secure tonnage available in the demolition market.

In the wake of escalating import bill, the State Bank of Pakistan has decided to impose a 100% Cash margin on 177 imported products, which includes Flat steel, Hot rolled and Cold rolled steel products. This firefighting measure is expected to discourage imports of these items and thus support the balance of payments.

The Pakistani Rupee has surpassed all records this week by trading at an historic low of 190 against U.S. dollar and the Central bank raised the key interest rate by 250 basis points to 12.25% in the biggest hike in three decades. PKR bounced back to 186 after Supreme Court nullified ruling against no-confidence motion.





Beaching Dates:
Throughout the month

TURKEY

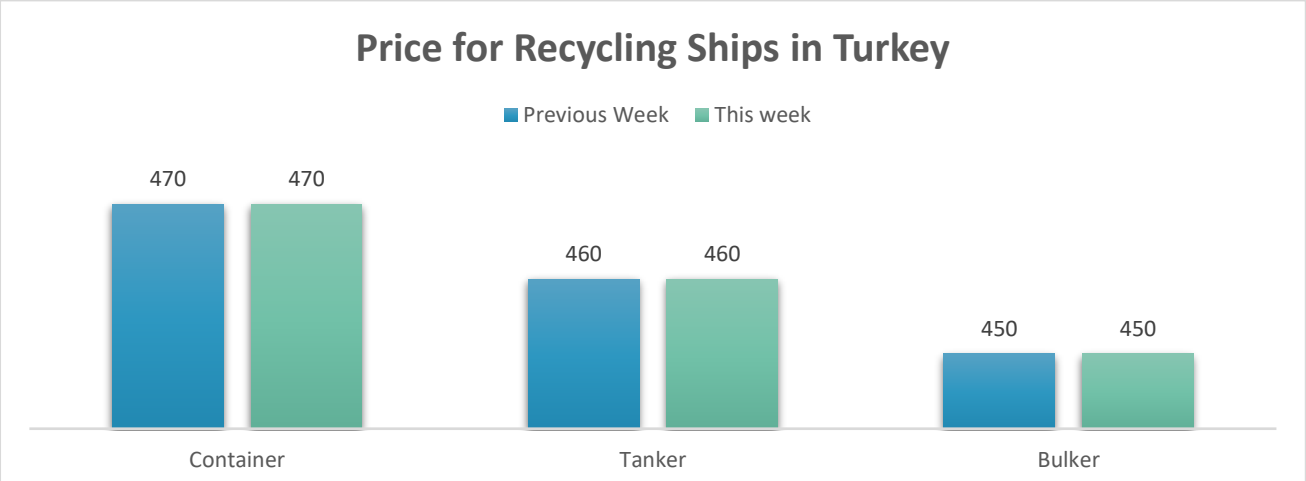
Demand remains stable

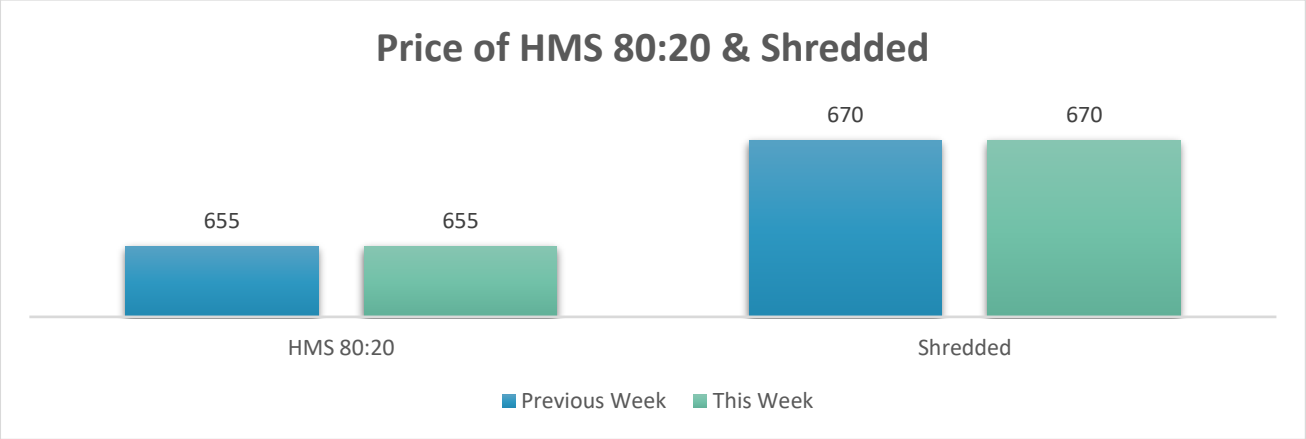
Two cruise vessels have arrived in Aliaga this week.

Domestic demand remained low during the week due to the local market's inability to adjust to the elevated levels.

Lira remained stable with no significant change throughout the week. It is currently trading at TL 14.76/USD.

Turkish inflation is galloping towards a fresh 20-year high, leaving the lira increasingly vulnerable as the nation's lose monetary policy is out of sync with the tightening monetary policy worldwide.



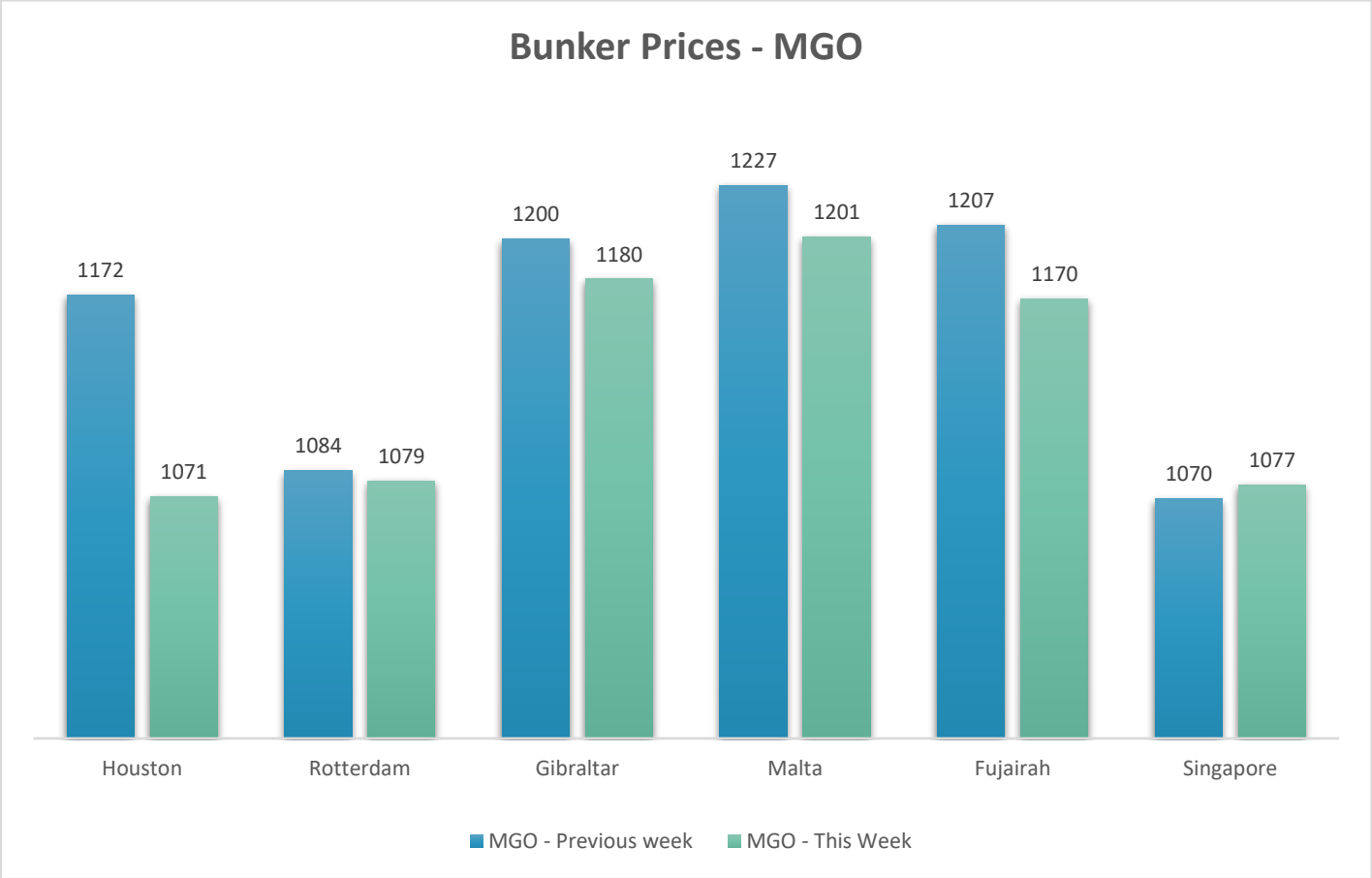


Beaching Dates:
Throughout the month

LIST OF VESSELS SOLD THIS WEEK

Vessel Name	Type of Vessel	Year of Build	Country of Build	LDT	Term of Sale	Location of Delivery	Sale Price/LDT (USD)
SONANGOL LUANDA	TANKER	2000	S. KOREA	23,192.00	AS-IS	BATAM	UNDISCLOSED
SONANGOL GIRASSOL	TANKER	2000	S. KOREA	23,313.00	AS-IS	BATAM	UNDISCLOSED
DA YUN HU	TANKER	2004	CHINA	26,829.00	AS-IS	CHINA	UNDISCLOSED

BUNKER PRICES AT PORT



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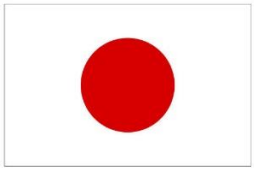

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